INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
Registration No.: 200701037521 (795550-A)
(Incorporated in Malaysia)

REPORTS AND FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
Registration No.: 200701037521 (795550-A)
(Incorporated in Malaysia)

REPORTS AND FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED
31 DECEMBER 2024

Contents

	Pages
Directors' Report	1 – 4
Statement by Directors	5
Statutory Declaration	5
Independent Auditors' Report to the Members	6 – 8
Statement of Comprehensive Income	9
Statement of Financial Position	10
Statement of Changes in Equity	11
Statement of Cash Flows	12 – 14
Notes to the Financial Statements	15 – 38

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The Directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 December 2024.

PRINCIPAL ACTIVITY

The Company is principally engaged in oil and gas engineering and supply of related equipment. There have been no significant changes in the nature of the activity during the financial year.

RESULTS

	RM
Net profit for the financial year	3,635,357

DIVIDENDS

On 21 October 2024, the Directors declared an interim single tier dividend of RM1.3889 per ordinary share for the financial year ended 31 December 2024 amounting to RM2,500,000 which was paid on 21 October 2024.

The Directors do not recommend any final dividend in respect of the current financial year.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves or provisions during the financial year other than those disclosed in the financial statements.

ISSUANCE OF SHARES OR DEBENTURES

The Company has not issued any shares or debentures during the financial year.

OPTIONS GRANTED OVER UNISSUED SHARES

No options were granted to any person to take up unissued shares of the Company during the financial year.

DIRECTORS OF THE COMPANY

The Directors in office since the beginning of the financial year to the date of this report are as follows:

LEE HONG TEIN
LING SU YEE

DIRECTORS' INTERESTS

According to the register of Directors' shareholdings, the interest of Directors in office at the end of financial year in shares or debentures of the Company and its related corporations during the financial year were as follows:

	Number of ordinary shares				Amount	
	At 1.1.2024 Units	Bought Units	Sold Units	At 31.12.2024 Units	At 1.1.2024 RM	At 31.12.2024 RM
Name of Directors						
Ordinary shares in the Company						
Direct interest:						
- Lee Hong Tein	1,755,000	-	-	1,755,000	1,755,000	1,755,000
- Ling Su Yee	45,000	-	-	45,000	45,000	45,000

DIRECTORS' REMUNERATION AND BENEFITS

The amount of fees and other benefits paid to or receivable by the Directors or past Directors of the Company and the estimated money value of any other benefits received or receivable by them otherwise than in cash from the Company for their services to the Company were as follows:

	2024 RM
Salaries	981,360
Bonus	23,560
Contributions to defined contribution plan	190,932
Social security contributions	2,434
Benefit-in-kind	8,800
	1,207,086

Since the end of the previous financial year, no Director of the Company has received nor become entitled to receive any benefit (other than Directors' emoluments received or due and receivable as disclosed in the financial statements or the fixed salary of a full-time employee of the Company) by reason of a contract made by the Company with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

There were no arrangements during or at the end of the financial year which had the object of enabling Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

OTHER STATUTORY INFORMATION

(a) Before the statement of comprehensive income and statement of financial position of the Company were made out, the Directors took reasonable steps:

(i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that there were no known bad debts and that adequate provision had been made for doubtful debts; and

(ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including their value as shown in the accounting records of the Company have been written down to an amount which they might be expected so to realise.

OTHER STATUTORY INFORMATION (cont'd)

(b) At the date of this report, the Directors are not aware of any circumstances:

(i) which would necessitate the writing off of bad debts or render the amount of the provision for doubtful debts inadequate to any substantial extent;

(ii) which would render the values attributed to current assets in the financial statements of the Company misleading;

(iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Company misleading or inappropriate; or

(iv) not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

(c) At the date of this report, there does not exist:

(i) any charge on the assets of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liability in respect of the Company which has arisen since the end of the financial year.

(d) In the opinion of the Directors:

(i) no contingent or other liability has become enforceable, or is likely to become enforceable, within the period of twelve months after the end of the financial year, which will or may affect the ability of the Company to meet its obligations as and when they fall due;

(ii) the results of the operations of the Company during the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature; and

(iii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

(e) The total amount paid to or receivable by the auditors as remuneration for their services as auditors for the financial year from the Company is RM26,000.

(f) There was no amount paid to or receivable by any third party in respect of the services provided to the Company by any Director or past Director of the Company.

(g) There was no indemnity given to or insurance effected for any Director, officer or auditors of the Company.

Registration No.: 200701037521 (795550-A)

AUDITORS

The auditors, Messrs. Moore Stephens Associates PLT, have expressed their willingness to continue in office.

Approved and signed by the Board in accordance with a resolution of the Directors dated 26 MAY 2025

LEE HONG TEIN

LING SU YEE

Registration No.: 200701037521 (795550-A)

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS
Pursuant to Section 251(2) of the Companies Act 2016

We, being the two Directors of the Company, do hereby state that, in our opinion, the accompanying financial statements as set out on pages 9 to 38, are drawn up in accordance with Malaysian Private Entities Reporting Standard and the Companies Act 2016 in Malaysia so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and of its financial performance and cash flows for the financial year then ended.

Approved and signed by the Board in accordance with a resolution of the Directors dated 26 MAY 2025

LEE HONG TEIN

LING SU YEE

STATUTORY DECLARATION
Pursuant to Section 251(1) of the Companies Act 2016

I, LEE HONG TEIN, being the Director primarily responsible for the financial management of the Company, do solemnly and sincerely declare that the financial statements as set out on pages 9 to 38 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act 1960.

Subscribed and solemnly declared by the
abovenamed at Kuala Lumpur
in the Federal Territory
on 26 MAY 2025

LEE HONG TEIN

Before me,

PESURUHJAYA SUMPAH
No. W 1006
MOHAMAD ZULISWANDI
BIN MOHAMED
01.01.2025 - 31.12.2027
MALAYSIA

Level 25, Menara Hong Leong,
No. 6, Jalan Damanlela Bukit Damansara
50490 Kuala Lumpur.

MOORE

Moore Stephens Associates PLT
[201304000972 (LLP0000963-LCA)]
Chartered Accountants [AF002096]
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No. 1 Jalan PJU 7/3, Mutiara Damansara
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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
Registration No.: 200701037521 (795550-A)
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Innovative Synergy Solutions Sdn. Bhd., which comprise the statement of financial position as at 31 December 2024, and the statement of comprehensive income, statement of changes in equity and statement of cash flows of the Company for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 9 to 38.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2024, and of its financial performance and its cash flows for the year then ended in accordance with the Malaysian Private Entities Reporting Standard and the requirements of the Companies Act 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The Directors of the Company are responsible for the other information. The other information comprises the Directors' Report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements does not cover the Directors' Report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Company, our responsibility is to read the Directors' Report and, in doing so, consider whether the Directors' Report is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is material misstatement of the Directors' Report, we are required to report that fact. We have nothing to report in this regard.

An independent member firm of Moore Global Network Limited.
Member firms in principal cities throughout the world.

Responsibilities of the Directors for the Financial Statements

The Directors of the Company are responsible for the preparation of the financial statements of the Company that give a true and fair view in accordance with the Malaysian Private Entities Reporting Standard and the requirements of the Companies Act 2016 in Malaysia. The Directors are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

(a) Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

(b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

(c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.

Auditors' Responsibilities for the Audit of the Financial Statements (cont'd)

(d) Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

(e) Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matter

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

Moore

MOORE STEPHENS ASSOCIATES PLT
201304000972 (LLP0000963-LCA)
Chartered Accountants (AF002096)

LO KUAN CHE
03016/11/2026 J
Chartered Accountant

Petaling Jaya, Selangor
Date: 26 May 2025

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 RM	2023 RM
Revenue	5	56,510,530	54,418,709
Cost of sales		(44,730,107)	(46,105,253)
Gross profit		11,780,423	8,313,456
Other income		676,741	334,058
Distribution expenses		(670,052)	(314,591)
Administrative expenses		(6,200,903)	(4,439,720)
Other expenses		(104,273)	(399,642)
Profit from operations		5,481,936	3,493,561
Finance costs		(477,079)	(391,901)
Profit before tax	6	5,004,857	3,101,660
Tax expense	7	(1,369,500)	(886,482)
Profit net of tax, representing total comprehensive income for the financial year		3,635,357	2,215,178

The annexed notes form an integral part of,
and should be read in conjunction with, these financial statements.

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 RM	2023 RM
ASSETS			
Non-current Assets			
Plant and equipment	8	1,010,767	682,111
Investment properties	9	4,803,490	4,900,859
Investment in an associate	10	9,195	-
		5,823,452	5,582,970
Current Assets			
Trade receivables	11	15,056,589	5,220,045
Other receivables	12	681,994	877,218
Amounts due from contract customers	13	8,298,432	12,023,651
Amount due from a Director	14	112,958	1,766,911
Tax asset		21,136	71,942
Cash and bank balances	15	7,126,058	9,750,316
		31,297,167	29,710,083
TOTAL ASSETS		37,120,619	35,293,053
EQUITY AND LIABILITIES			
Equity			
Share capital	16	1,800,000	1,800,000
Revaluation reserve	17	813,661	813,661
Retained earnings		4,360,671	3,225,314
Total Equity		6,974,332	5,838,975
Non-current Liabilities			
Borrowings	18	1,315,870	1,789,996
Lease liability	19	204,790	175,946
Deferred tax liabilities	20	236,899	184,192
		1,757,559	2,150,134
Current Liabilities			
Trade payables	21	16,935,035	19,909,388
Other payables	22	1,187,128	987,460
Amounts due to contract customers	13	7,451,151	3,870,863
Borrowings	18	2,768,967	2,516,945
Lease liability	19	46,447	19,288
		28,388,728	27,303,944
Total Liabilities		30,146,287	29,454,078
TOTAL EQUITY AND LIABILITIES		37,120,619	35,293,053

The annexed notes form an integral part of,
and should be read in conjunction with, these financial statements.

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	Share Capital RM	Revaluation Reserve RM	Distributable Retained Earnings RM	Total Equity RM
At 1 January 2023		1,800,000	813,661	1,510,136	4,123,797
Dividend	24			(500,000)	(500,000)
Profit net of tax, representing total comprehensive income for the financial year		-	-	2,215,178	2,215,178
At 31 December 2023/ 1 January 2024		1,800,000	813,661	3,225,314	5,838,975
Dividend	24			(2,500,000)	(2,500,000)
Profit net of tax, representing total comprehensive income for the financial year		-	-	3,635,357	3,635,357
At 31 December 2024		1,800,000	813,661	4,360,671	6,974,332

The annexed notes form an integral part of,
and should be read in conjunction with, these financial statements.

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	2024 RM	2023 RM
Cash Flows from Operating Activities			
Profit before tax		5,004,857	3,101,660
Adjustments for:			
Depreciation of investment properties		97,369	97,368
Depreciation of plant and equipment		190,675	113,481
Impairment loss on other receivables		-	1,686
Interest expenses			
- lease liability		9,580	8,690
- trust receipts and bank guarantees		316,256	207,534
- term loans		151,243	173,775
- bank overdrafts		-	1,902
Interest income		(99,294)	(98,587)
Gain on disposal of plant and equipment		(67,062)	-
Unrealised loss on foreign exchange		44,381	110,692
Operating profit before working capital changes		5,648,005	3,718,201
Changes in working capital:			
Receivables		(9,655,024)	(1,615,827)
Payables		(2,791,641)	2,333,704
Amounts due from/(to) contract customers, net		7,305,507	(2,059,566)
Cash generated from operations		506,847	2,376,512
Interest paid		(477,079)	(391,901)
Interest received		99,294	98,587
Tax paid		(1,265,987)	(351,191)
Net cash (used in)/from operating activities		(1,136,925)	1,732,007
Cash Flows from Investing Activities			
Purchase of plant and equipment	8	(405,947)	(385,958)
Proceed from disposal of plant and equipment		31,079	-
Repayment from a related company		9,513	190,587
Net repayment from/(advances to) a Director		1,653,953	(273,975)
Net cash from/(used in) investing activities		1,288,598	(469,346)
Cash Flows from Financing Activities			
Repayment of lease liability	(iv)	(21,398)	(12,766)
Proceeds from bank borrowings	(i)	12,513,531	1,944,200
Repayment of bank borrowings	(ii)	(12,735,635)	(1,439,736)
Placement of pledged fixed deposits		(147,747)	(478,903)
Dividend paid		(2,500,000)	(500,000)
Net cash used in financing activities		(2,891,249)	(487,205)

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (cont'd)

	Note	2024 RM	2023 RM
Net (decrease)/increase in cash and cash equivalents		(2,739,576)	775,456
Effect of exchange rate fluctuations on cash and cash equivalents		(32,429)	(68,902)
Cash and cash equivalents at the beginning of the financial year		6,476,636	5,770,082
Cash and cash equivalents at the end of the financial year	(iii)	3,704,631	6,476,636

Note:

(i) Proceed from bank borrowings comprise of:

	2024 RM	2023 RM
Term loans	1,356,999	-
Trust receipts	11,156,532	1,944,200
	12,513,531	1,944,200

(ii) Repayment of bank borrowings comprise of:

	2024 RM	2023 RM
Term loans	(2,138,892)	(556,422)
Trust receipts	(10,596,743)	(883,314)
	(12,735,635)	(1,439,736)

(iii) Cash and cash equivalents comprise of:

	2024 RM	2023 RM
Cash and bank balances	3,704,631	6,476,636
Fixed deposits placed with licensed banks	3,421,427	3,273,680
	7,126,058	9,750,316
Less: Fixed deposits pledged	(3,421,427)	(3,273,680)
	3,704,631	6,476,636

INNOVATIVE SYNERGY SOLUTIONS SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024 (cont'd)

Note: (cont'd)

(iv) Reconciliation of movement of liabilities to cash flows arising from financing activities:

	2024 RM	2023 RM
Lease liability		
At the beginning of the financial year	195,234	-
Addition	252,616	208,000
Disposal	(175,215)	-
Repayment, representing net changes from financing cash flows	(21,398)	(12,766)
	251,237	195,234

1. CORPORATE INFORMATION

The Company is a private limited liability company, incorporated and domiciled in Malaysia.

The registered office of the Company is located at D12, Tingkat 1, Plaza Pekeliling, No. 2, Jalan Tun Razak, 50400 Kuala Lumpur, Wilayah Persekutuan.

The principal place of business of the Company is located at S04A1 & S04A2, Level 4, South Block, Wisma Golden Eagle Realty, 142A, Jalan Ampang, 50450 Kuala Lumpur, Wilayah Persekutuan.

The Company is principally engaged in oil and gas engineering and supply of related equipment. There have been no significant changes in the nature of the activity during the financial year.

The financial statements were authorised for issue in accordance with a Board of Directors' resolution dated 26 May 2025.

2. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Company have been prepared in accordance with the Malaysian Private Entities Reporting Standard ("MPERS") issued by the Malaysian Accounting Standards Board ("MASB") and complied with the requirements of the Companies Act 2016 in Malaysia.

(b) Basis of measurement

The financial statements have been prepared on the historical cost convention except for those as disclosed in the accounting policy notes.

(c) Functional and presentation currency

The financial statements are presented in Ringgit Malaysia ("RM"), which is the Company's functional and presentation currency.

3. CRITICAL JUDGEMENTS AND ESTIMATION UNCERTAINTY

The measurement of some assets and liabilities requires management to use estimates based on various observable inputs and other assumptions. The areas or items that are subject to significant estimation uncertainties of the Company are:

(a) Depreciation of plant and equipment and investment property

The cost of plant and equipment and investment property is depreciated on the straight-line method or another systematic method that reflects the consumption of the economic benefits of the asset over its useful life. Estimates are applied in the selection of the depreciation method, the useful lives and the residual values. The actual consumption of the economic benefits of the plant and equipment and investment property may differ from the estimates applied and this may lead to a gain or loss on an eventual disposal of the plant and equipment and investment property.

3. CRITICAL JUDGEMENTS AND ESTIMATION UNCERTAINTY (cont'd)

(b) Loss allowances of financial assets

The Company recognises impairment losses for loans and receivables using the incurred loss model. Individually significant loans and receivables are tested for impairment separately by estimating the cash flows expected to be recoverable. All others are grouped into credit risk classes and tested for impairment collectively, using the Company's past experiences of loss statistics, ageing of past due amounts and current economic trends. The actual eventual losses may be different from the allowance made and this may affect the Company's financial position and results.

(c) Measurement of revenue and expenses in engineering, procurement and construction ("EPC") contracts

The Company applies the percentage of completion method to account for all of its EPC contracts with customers. This method requires reliable estimation of future outcomes that invariably must rely on estimates of stage of completion, future costs, and collectability of progress billings. Internal budgets and forecasts are used in these estimates. The actual outcome will only be known when the EPC contract is completed, and this actual outcome may not coincide with the estimates made.

4. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, unless otherwise stated.

(a) Revenue Recognition

The Company measures revenue from a sale of goods or a service transaction at the fair value of the consideration received or receivable, which is usually the invoice price, net of any trade discounts and volume rebates given to the customer. For a multiple-element contract with a customer, the fair value of the consideration receivable is allocated to the identifiable elements on the relative stand-alone selling price basis.

Revenue from a sale of goods is recognised when:

(i) the Company has transferred to the buyer the significant risks and rewards of ownership of the goods;

(ii) the Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;

(iii) the amount of the revenue can be measured reliably;

(iv) it is probable that the economic benefits associated with the transaction will flow to the Company; and

(v) the costs incurred or to be incurred in respect of the transaction can be measured reliably.

<u>EPC contracts</u>

Revenue from EPC contracts is accounted for by the stage of completion method. The stage of completion is measured by reference to the proportion costs incurred for work performed to date to the estimated total costs.

<u>Rental income</u>

Rental income is recognised on a time proportion basis over the lease term of the lease unless ability to collect is in doubt.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(a) Revenue Recognition (cont'd)

Interest income

Interest income is recognised on a time proportion basis that reflects the effective yield on assets.

(b) Employee Benefits

The Company recognises a liability when an employee has provided service in exchange for employee benefits to be paid in the future and an expense when the Company consumes the economic benefits arising from service provided by an employee in exchange for employee benefits.

(i) Short term employee benefits

Wages and salaries are usually accrued and paid on a monthly basis and are recognised as an expense, unless they relate to cost of producing inventories or other assets.

Paid absences (annual leave, maternity leave, paternity leave, sick leave, etc.) are accrued in each period if they are accumulating paid absences that can be carried forward, or in the case of non-accumulating paid absences, recognised as and when the absences occur.

Profit sharing and bonus payments are recognised when, and only when, the Company has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made.

(ii) Defined contribution plans

The Company makes statutory contributions to approved provident funds and the contributions made are charged to profit or loss in the period to which they relate. When the contributions have been paid, the Company has no further payment obligations.

(c) Income Tax

A current tax for current and prior periods, to the extent unpaid, is recognised as a current tax liability. If the amount already paid in respect of current and prior periods exceed the amount due for those periods, the excess is recognised as a current tax asset. A current tax liability (asset) is measured at the amount the entity expects to pay (recover) using tax rates and laws that have been enacted or substantively enacted by the reporting date.

A deferred tax liability is recognised for all taxable temporary differences, except to the extent that the deferred tax liability arises from: (a) the initial recognition of goodwill; or (b) the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit (or tax loss). The exceptions for initial recognition differences include items of property, plant and equipment that do not qualify for capital allowances and acquired intangible assets that are not deductible for tax purposes. However, taxable temporary differences related to investments in subsidiaries and branches are not recognised if the parent or the Company is able to control the timing of the reversal of the temporary differences and it is probable that the temporary differences will not reverse in the foreseeable future.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(c) Income Tax (cont'd)

A deferred tax asset is recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the deferred tax asset arises from the initial recognition of an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither accounting profit nor tax taxable profit (or tax loss). The exceptions for the initial recognition differences include non-taxable government grants received and reinvestment allowances and investment tax allowances on qualifying property, plant and equipment. However, for deductible temporary differences related to investments in subsidiaries and branches, a deferred tax asset is recognised to the extent, and only to the extent that, it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

A deferred tax asset is recognised for the carry-forward of unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unused tax credits can be utilised. Unused tax credits do not include unabsorbed reinvestment allowances and unabsorbed investment tax allowances because the Company treats these as part of initial recognition differences.

Deferred taxes are measured using tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred taxes reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities.

At the end of each reporting period, the carrying amount of a deferred tax asset is reviewed, and is reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of a part or all of that deferred tax asset to be utilised. Any such reduction will be reversed to the extent that it becomes probable that sufficient taxable profit will be available.

A current or deferred tax is recognised as income or expenses in profit or loss for the period, except to the extent that the tax arises from items recognised outside profit or loss. For an income or expense item recognised in other comprehensive income, the current or deferred tax expense or tax income is recognised in other comprehensive income. For items recognised directly in equity, the related tax effect is also recognised directly in equity.

(d) Foreign Currency Transactions

Transactions denominated in foreign currencies are translated and recorded at the rates of exchange prevailing at the respective dates of transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at the end of the period (i.e. the closing rates). Non-monetary items carried at revalued amounts or at fair values that are denominated in foreign currencies are retranslated at the rates prevailing at the dates the fair values were determined. Non-monetary items that are measured at their historical cost amounts continue to be translated at their respective historical rates and are not retranslated.

All exchange differences arising on settled transactions and on unsettled monetary items are recognised in profit or loss in the period.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(e) Plant and Equipment

All plant and equipment are initially measured at cost. For a purchased asset, cost comprises purchase price plus all directly attributable costs incurred in bringing the asset to its present location and condition for management's intended use. For a self-constructed asset, cost comprises all direct and indirect costs of construction (including provision for restoration and cost of major inspection) but excludes internal profits. For an exchange of non-monetary asset that has a commercial substance, cost is measured by reference to the fair value of the asset received. For an asset transferred from a customer or a grantor, cost is measured by reference to the fair value of the asset.

All plant and equipment are subsequently measured at cost less accumulated depreciation and accumulated impairment losses.

Plant and equipment are depreciated by allocating the depreciable amount of a significant component or of an item over the remaining useful life. The depreciation methods used and the useful lives of the respective classes of plant and equipment are as follows:

	Method	Useful life (years)
Furniture and fittings	Straight-line	10
Office equipment	Straight-line	10
Motor vehicle	Straight-line	5
Computers and peripherals	Straight-line	5
Renovation	Straight-line	5
Tools and equipment	Straight-line	10

The residual values, useful lives and depreciation method are reviewed periodically to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment. These are adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any, and the net carrying amount is recognised in the statement of comprehensive income.

Fully depreciated plant and equipment are retained in the financial statements until they are no longer in use and no further charge for depreciation is made in respect of these plant and equipment.

(f) Investment Properties

The Company recognised building (including a floor of a building) as an investment property if it is within the Company's business model objective of holding the property for capital appreciation, rental income or both. An investment property is recorded at cost on initial recognition. Cost of an investment property comprises purchase price plus all directly attributable costs incurred to bring the property to its present location and condition intended for use as an investment property. Cost of a self-constructed investment property comprises all direct and indirect construction costs but exclude internal profits.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(f) Investment Properties (cont'd)

For the purpose of subsequent measurement, items of equipment that are irremovable and items that are physically attached to a building, such as lifts, elevators, electrical system and air-conditioning system, are treated as an integral part of the property. The Company used the cost model to measure an investment property after initial recognition since the fair value cannot be measured reliably without undue cost or effort. Fair value is determined by reference to a quoted market price, if observable. Changes in fair value of an investment property are recognised in profit or loss for the periods in which they arise. All other investment property is measured at cost less accumulated depreciation and impairment loss.

A property interest under an operating lease is classified and accounted for as an investment property on a property-by-property basis when the Company hold it to earn rentals or for capital appreciation or both. Any such property interest under an operating lease classified as an investment property is carried at cost.

Investment properties are depreciated on a straight-line basis to write down the cost of each asset to their residual values over their estimated useful lives. Buildings depreciation rate is at range from 2.5% to 2.56% per annum. Freehold lands have an indefinite useful life and therefore is not depreciated.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in profit or loss in the financial year in which they arise. Any surplus previously recorded in equity is transferred to retained earnings; the transfer is not made through profit or loss.

When an item of property, plant and equipment is transferred to investment property following a change in its use, any difference arising at the date of transfer between the carrying amount of the item immediately prior to transfer and its fair value is recognised directly in equity as a revaluation of property, plant and equipment. However, if a fair value gain reverses a previous impairment loss, the gain is recognised in profit or loss.

When the use of a property changes such that it is reclassified as property, plant and equipment or inventories, its fair value at the date of reclassification becomes its cost for subsequent accounting.

(g) Share Capital

Ordinary shares are classified as equity instrument.

When ordinary shares are issued in exchange for non-monetary assets, they are measured by reference to the fair values of the assets received.

When ordinary shares are issued as consideration transferred in a business combination or as settlement of an existing financial liability, they are measured at their fair value at the date of the exchange transaction.

Transaction costs of an equity transaction are accounted for as a deduction from equity, net of any related income tax effect.

Dividends on ordinary shares are recognised in equity in the period in which they are declared.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(h) Financial Instruments

(i) Initial Recognition and Measurement

The Company recognises a financial asset or a financial liability (including derivative instruments) in the statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

On initial recognition, all financial assets (including intra-group loans and advances) and financial liabilities (including intra-group payables) are measured at fair value, which is generally the transaction price, plus transaction costs if the financial asset or financial liability is not measured at fair value through profit or loss. For instruments measured at fair value through profit or loss, transaction costs are expensed to profit or loss when incurred. For intra-group loans and advances, and other contractual arrangements, that constitute a financing transaction, the financial asset or financial liability is measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument.

(ii) Derecognition of Financial Instruments

For derecognition purposes, the Company first determines whether a financial asset or a financial liability should be derecognised in its entirety as a single item or derecognised part-by-part of a single item or of a group of similar items.

A financial asset, whether as a single item or as a part, is derecognised when, and only when, the contractual rights to receive the cash flows from the financial asset expire, or when the Company transfers the contractual rights to receive cash flows of the financial asset, including circumstances when the Company acts only as a collecting agent of the transferee, and retains no significant risks and rewards of ownership of the financial asset or no continuing involvement in the control of the financial asset transferred.

A financial liability is derecognised when, and only when, it is legally extinguished, which is either when the obligations specified in the contract is discharged or cancelled or expire. A substantial modification of the terms of an existing financial liability is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. For this purpose, the Company considers a modification as substantial if the present value of the revised cash flows of the modified terms discounted at the original effective interest rate differs by 10% or more when compared with the carrying amount of the original liability.

(iii) Subsequent Measurement of Financial Assets

For the purpose of subsequent measurement, the Company classifies financial assets as financial assets at amortised cost.

After initial recognition, the Company measures investments in quoted preference shares, quoted ordinary shares and derivatives that are assets at their fair values by reference to the active market prices, if observable, or otherwise by a valuation technique, without any deduction for transaction costs it may incur on sale or other disposal.

Investments in debt instruments, whether quoted or unquoted, are subsequently measured at amortised cost using the effective interest method. Investments in unquoted equity instruments and whose fair value cannot be reliably measured are measured at cost.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(h) Financial Instruments (cont'd)

(iv) Subsequent Measurement of Financial Liabilities

After initial recognition, the Company measures all financial liabilities at amortised cost using the effective interest method.

(v) Recognition of Gains and Losses

For financial assets and financial liabilities carried at amortised cost, a gain or loss is recognised in profit or loss when the financial asset or financial liability is derecognised or impaired, and through the amortisation process of the instrument.

(vi) Impairment and Uncollectibility of Financial Assets

The Company applies the incurred loss model to recognise impairment losses of financial assets. At the end of each reporting period, the Company examines whether there is any objective evidence that a financial asset or a group of financial assets is impaired. Evidences of trigger loss events include: (i) significant difficulty of the issuer or obligor; (ii) a breach of contract, such as a default or delinquency in interest or principal payment; (iii) granting exceptional concession to a customer; (iv) it is probable that a customer will enter bankruptcy or other financial reorganisation; (v) the disappearance of an active market for that financial asset because of financial difficulties; or (vi) any observable market data indicating that there may be a measurable decrease in the estimated future cash flows from a group of financial assets.

For a non-current loan and receivable carried at amortised cost, the revised estimated cash flows are discounted at the original effective interest rate. Any impairment loss is recognised in profit or loss and a corresponding amount is recorded in a loss allowance account. Any subsequent reversal of impairment loss of the financial asset is reversed in profit or loss with a corresponding adjustment to the allowance account, subject to the limit that the reversal should not result in the revised carrying amount of the financial asset exceeding the amount that would have been determined had no impairment loss been recognised previously.

For short-term trade and other receivables, where the effect of discounting is immaterial, impairment loss is tested for each individually significant receivable whenever there is any indication of impairment. Individually significant receivables for which no impairment loss is recognised are grouped together with all other receivables by classes based on credit risk characteristics and aged according to their past due periods. A collective allowance is estimated for a class group based on the Company's experiences of loss ratio in each class, taking into consideration current market conditions.

For an unquoted equity investment measured at cost less impairment, the impairment is the difference between the assets's carrying amount and the best estimate (which will necessarily be an approximation) of the amount (which might be zero) that the Company expects to receive for the asset if it were sold at the reporting date. The Company may estimate the recoverable amount using an adjusted net asset value approach.

(i) Impairment of non-financial assets

An impairment loss arises when the carrying amount of the Company's asset exceeds its recoverable amount. For the purpose of impairment testing of non-financial assets, goodwill is allocated to each of the Company's cash-generating units that are expected to benefit from the synergies of business combinations.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(i) Impairment of non-financial assets (cont'd)

At the end of each reporting date, the Company assesses whether there is any indication that a stand-alone asset or a cash-generating unit may be impaired by using external and internal sources of information. If any such indication exists, the Company estimates the recoverable amount of the asset or cash-generating unit.

If an individual asset generates independent cash inflows, it is tested for impairment as a stand-alone asset. If an asset does not generate independent cash inflows, it is tested for impairment together with other assets (including any allocated goodwill) in a cash-generating unit, at the lowest level in which independent cash inflows are generated and monitored for internal management purposes

The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs to sell and the value in use. The Company determines the fair value less costs to sell of an asset or a cash-generating unit in a hierarchy based on: (i) price in a binding sale agreement; (ii) market price traded in an active market; and (iii) estimate of market price using the best available information. The value in use is estimated by discounting the net cash inflows (by an appropriate discount rate) of the asset or unit, using reasonable and supportable management's budgets and forecasts of five years and extrapolation of cash inflows for periods beyond the five-year forecast or budget.

For an asset measured on a cost-based model, any impairment loss is recognised in profit or loss. For a property, plant and equipment measured on the revaluation model, any impairment loss is treated as a revaluation decrease.

For a cash-generating unit, any impairment loss is first allocated to reduce the carrying amount of goodwill allocated to the unit, if any, and the balance of the impairment loss is then allocated to the other assets of the unit pro rata based on the relative carrying amounts of the assets.

The Company reassesses the recoverable amount of an impaired asset or a cash-generating unit if there is any indication that an impairment loss recognised previously may be reversed.

Other than goodwill, any reversal of impairment loss for an asset carried at a cost-based model is recognised in profit or loss, subject to the limit that the revised carrying amount does not exceed the amount that would have been determined had no impairment loss been recognised previously. Impairment loss of goodwill is not reversed.

(j) Cash and Cash Equivalents

Cash and cash equivalents consist of cash on hand, cash at bank and fixed deposits with licensed banks that are readily convertible to known amount of cash and which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts and pledged deposits, if any.

(k) Fair value measurement

For assets, liabilities and equity instruments (whether financial or non-financial items) that require fair value measurements or disclosure, the Company establishes a fair value measurement hierarchy that gives the highest priority to quoted prices (unadjusted) in active markets for identical assets, liabilities or equity instruments and the lowest priority to unobservable inputs.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(k) Fair value measurement (cont'd)

A fair value measurement of an item is estimated using a quoted price in an active market if that price is observable. The active market is the principal market for the asset or liability or, in the absence of a principal market, the most advantageous market for the asset or liability; and for which the Company can enter into a transaction for the asset or liability at the price in that market at the measurement date.

In the absence of an active market price, the fair value of an item is estimated by an established valuation technique using inputs from the marketplace that are observable for substantially the full term of the asset or liability. In the absence of both market price and observable inputs, a fair value measurement of an item is estimated by an established valuation technique using unobservable inputs, including internally developed assumptions that are reasonable and supportable.

(l) Finance and operating leases

The Company recognises a lease whenever there is an agreement, whether explicitly stated as a lease or otherwise, whereby the lessor conveys to the lessee in return for a payment or series of payments the right to use an asset for an agreed period of time. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental of ownership. Title may or may not eventually be transferred. All other leases that do not meet this criterion are classified as operating leases.

Lessee accounting

The Company capitalises the underlying asset and the related lease liability in a finance lease. The amount recognised at the commencement date is the fair value of the underlying leased assets or, if lower, the present value of the minimum lease payments, each determined at the inception of the lease. The discount rate used in calculating the present value of the minimum lease payments is the interest rate implicit in the lease, if this is practicable to determine; if not, the lessee's incremental borrowing rate is used. Any initial direct cost of the lease is added to the amount recognised as an asset.

Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent rents are charged as expenses in the periods in which they are incurred.

Capitalised leased assets are classified by nature and accounted for in accordance with applicable Standards in MPERS. If there is no reasonable certainty that the lessee will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the lease term and its useful life.

For operating leases, a lessee in the Company does not capitalise the underlying leased asset or recognise a lease liability. Instead, lease payments under an operating lease are recognised as an expense on the straight-line basis over the lease term unless another systematic basis is more representative of the time pattern of the user's benefit.

For a lease that includes land and building elements, the Company assesses the classification of each element as a finance lease or an operating lease separately in accordance with indicators in Section 20 Leases of MPERS. The minimum lease payments (including any lump-sum upfront payments) are allocated between the land and the building elements in proportion to the relative fair values of the leasehold interests in the land element and building element of the lease at the inception of the lease. If substantially all of the risks and rewards incidental to ownership have been transferred to a lessee in the Company, the leasehold land and buildings are treated as a finance lease and capitalised as an item of plant and equipment. Short-term leases of land and buildings are treated as operating leases and the underlying leased assets are not capitalised. Any upfront lease payments are classified as a prepaid lease payment, an intangible asset on the nature of right-of-use asset.

4. SIGNIFICANT ACCOUNTING POLICIES (cont'd)

(m) Provisions

Provisions are recognised when the Company has a present obligation as a result of a past event and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. Where the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as finance cost.

(n) Borrowing Costs

Borrowing costs of the Company include interest expense of other debt instruments calculated using the effective interest method. All borrowing costs are recognised as an expense when incurred.

(o) Investment in an associate

The Company recognises an associate based on the criterion of significant influence. Significant influence exists when the Company has the power to participate in the financial and operating policy decisions of the investee but has no control or joint control of those policies. This is normally (though not necessarily) accomplished when the Company, directly or indirectly through subsidiaries, holds 20 per cent or more of the voting rights of the investee. When the Company voting rights in an investee are less than 20 per cent, the Company assesses whether it has significant influence by examining all relevant facts and circumstances, including the existence of potential voting rights that are substantive, representation on the board of directors, participation in policy-making processes, material transactions between the Company and the investee, interchange of managerial personnel and provision of essential technical information.

The Company may sometimes hold an insignificant equity interest in an investee to cement a trading relationship and is represented on the board of directors of the investee. If the Company's representation on the board of directors is solely for the purpose of protecting the value of investment rather than participation in the policy decisions, the investee is not classified as an associate.

The Company measures all investments in associates using the cost method.

5. REVENUE

Revenue represents dealing with engineering equipment and products relating to oil and gas industry.

6. PROFIT BEFORE TAX

Profit before tax is arrived at after (crediting)/charging:

	2024 RM	2023 RM
Auditors' remuneration		
- current year	26,000	26,000
Depreciation of investment properties	97,369	97,368
Depreciation of plant and equipment	190,675	113,481
Employee benefits expense [Note (a)]	4,086,742	3,054,293
Impairment loss on other receivables	-	1,686
Interest expense on:-		
- lease liability	9,580	8,690
- trust receipts and bank guarantees	316,256	207,534
- term loans	151,243	173,775
- bank overdrafts	-	1,902
Interest income	(99,294)	(98,587)
Realised loss on foreign exchange	275,227	9,749
Rental of premises	191,565	206,361
Rental of office equipment	10,280	42,030
Rental of warehouse	87,000	87,000
Rental income	(234,000)	(230,400)
Gain on disposal of plant and equipment	(67,062)	-
Unrealised loss on foreign exchange	44,381	110,692

(a) Employee benefits expense comprises:

	2024 RM	2023 RM
Staff costs		
Salaries and wages	2,246,196	1,666,221
Bonuses	301,575	204,383
Contributions to defined contribution plan	281,219	207,781
Social security contributions	21,599	14,282
Other benefits	37,867	25,256
	2,888,456	2,117,923
Executive Directors		
Salaries	981,360	691,360
Bonuses	23,560	93,560
Contributions to defined contribution plan	190,932	149,132
Social security contributions	2,434	2,318
	1,198,286	936,370
Total employee benefits expense	4,086,742	3,054,293

7. TAX EXPENSE

	2024 RM	2023 RM
Income tax:		
Current year	1,316,039	822,013
Under provision in prior year	754	66,321
	1,316,793	888,334
Deferred tax (Note 20):		
Relating to origination/(reversal) of temporary differences	58,860	(3,229)
(Over)/underprovision in the prior year	(1,848)	5,682
Realisation of deferred tax liability arising from depreciable revaluation reserve	(4,305)	(4,305)
	52,707	(1,852)
Tax expense	1,369,500	886,482

Domestic income tax is calculated at the Malaysian statutory tax rate of 24% (2023: 24%) of the estimated assessable profit for the year. The tax reconciliation from the tax amount at statutory income tax rate to the Company's tax expense is as follows:

	2024 RM	2023 RM
Profit before tax	5,004,857	3,101,660
Tax at the Malaysian statutory income tax rate of 24%	1,201,166	744,398
Tax effect arising from non-deductible expenses	173,733	74,386
Realisation of deferred tax liability arising from depreciable revaluation reserve	(4,305)	(4,305)
(Over)/Underprovision of deferred tax in prior year	(1,848)	5,682
Underprovision of tax expense in prior year	754	66,321
	1,369,500	886,482

8. PLANT AND EQUIPMENT

	Furniture and fittings RM	Office equipment RM	Motor vehicle RM	Computers and peripherals RM	Renovation RM	Tools and equipment RM	Total RM
2024							
Cost							
At the beginning of the financial year	31,914	73,008	393,803	1,000,589	56,871	48,000	1,604,185
Additions	-	2,309	262,965	121,791	-	271,498	658,563
Disposal	-	-	(225,781)	-	-	-	(225,781)
At the end of the financial year	31,914	75,317	430,987	1,122,380	56,871	319,498	2,036,967
Accumulated depreciation							
At the beginning of the financial year	11,543	45,003	209,414	605,758	29,156	21,200	922,074
Charge for the financial year	2,871	3,884	53,922	102,103	7,076	20,819	190,675
Disposal	-	-	(86,549)	-	-	-	(86,549)
At the end of the financial year	14,414	48,887	176,787	707,861	36,232	42,019	1,026,200
Net carrying amount							
At the end of the financial year	17,500	26,430	254,200	414,519	20,639	277,479	1,010,767

8. PLANT AND EQUIPMENT (cont'd)

	Note	Furniture and fittings RM	Office equipment RM	Motor vehicle RM	Computers and peripherals RM	Renovation RM	Tools and equipment RM	Total RM
2023								
Cost								
At the beginning of the financial year		14,870	51,967	168,021	653,454	91,389	48,000	1,027,701
Addition		-	21,041	225,782	347,135	-	-	593,958
Reclassification		17,044	-	-	-	(17,044)	-	-
Adjustment	(i)	-	-	-	-	(17,474)	-	(17,474)
At the end of the financial year		31,914	73,008	393,803	1,000,589	56,871	48,000	1,604,185
Accumulated depreciation								
At the beginning of the financial year		8,529	41,386	168,021	552,777	21,480	16,400	808,593
Charge for the financial year		3,014	3,617	41,393	52,981	7,676	4,800	113,481
At the end of the financial year		11,543	45,003	209,414	605,758	29,156	21,200	922,074
Net carrying amount								
At the end of the financial year		20,371	28,005	184,389	394,831	27,715	26,800	682,111

8. PLANT AND EQUIPMENT (cont'd)

(i) Representing amount over accrued for renovation cost in prior years.

(ii) During the financial year, the Company acquired property, plant and equipment with an aggregate cost of RM658,563 (2023: RM593,958) which are satisfied by the following arrangements:

	2024 RM	2023 RM
Finance through lease arrangement	252,616	208,000
Cash payment	405,947	385,958
	658,563	593,958

9. INVESTMENT PROPERTIES

	Freehold lands RM	Buildings RM	Total RM
2024			
Cost			
At the beginning/end of the financial year	1,401,958	4,267,148	5,669,106
Accumulated depreciation			
At the beginning of the financial year	-	768,247	768,247
Charge for the financial year	-	97,369	97,369
At the end of the financial year	-	865,616	865,616
Net carrying amount			
At the end of the financial year	1,401,958	3,401,532	4,803,490
2023			
Cost			
At the beginning/end of the financial year	1,401,958	4,267,148	5,669,106
Accumulated depreciation			
At the beginning of the financial year	-	670,879	670,879
Charge for the financial year	-	97,368	97,368
At the end of the financial year	-	768,247	768,247
Net carrying amount			
At the end of the financial year	1,401,958	3,498,901	4,900,859

The fair value of the investment properties cannot be measured reliably without undue cost or effort. As such, the investment properties are stated at cost less accumulated depreciation.

The freehold lands and buildings with carrying amount of RM4,466,483 (2023: RM4,900,859) are pledged to licensed banks as security for credit facilities granted to the Company as disclosed in Note 18.

10. INVESTMENT IN AN ASSOCIATE

	2024 RM	2023 RM
At cost		
Unquoted shares		
At the beginning of the financial year	-	-
Addition	9,195	-
At the end of the financial year	9,195	-

The details of the associate are as follows:

Name	Country of incorporation	Principal Activities	Effective Equity Interest 2024	Effective Equity Interest 2023
SOOPL Project Private Limited ("SOOPL")	India	Oil and gas engineering and supply of related equipment	26%	-

11. TRADE RECEIVABLES

The Company's normal trade credit term range from 30 days to 60 days (2023: 30 days). Other credit terms are assessed and approved on a case-by-case basis.

Included in the trade receivables is an amount of RM717,457 (2023: Nil) representing retention sums which are due upon expiry of retention periods of 24 months after the date of delivery.

12. OTHER RECEIVABLES

	2024 RM	2023 RM
Other receivables, gross	589,947	588,211
Less: Allowance for impairment [Note (i)]	(245,941)	(245,941)
Other receivables, net	344,006	342,270
Amount owing from a related company [Note(ii)]	-	9,513
Deposits	149,834	149,834
Prepayments	188,154	375,601
	681,994	877,218

12. OTHER RECEIVABLES (cont'd)

(i) Movement in allowance for impairment

	2024 RM	2023 RM
At the beginning of the financial year	245,941	244,255
Addition	-	1,686
At the end of the financial year	245,941	245,941

(ii) This amount is non-trade in nature, unsecured, bear interest rates range from 5.20% - 5.40% (2023: 4.97% - 5.49%) per annum and collectible on demand.

13. AMOUNTS DUE FROM CONTRACT CUSTOMERS

	2024 RM	2023 RM
Accumulated cost incurred to date	205,586,989	99,935,373
Accumulated attributable profits	46,302,359	15,895,034
	251,889,348	115,830,407
Less: Adjustment for completed projects		
Contract cost inccured to date	(73,648,548)	-
Attributable to profit	(22,258,605)	-
	(95,907,153)	-
	155,982,195	115,830,407
Less: Accumulated progress billings	(251,042,067)	(107,677,619)
Adjustment for completed projects	95,907,153	-
Contract assets	847,281	8,152,788
Represented by:		
Amounts due from contract customers	8,298,432	12,023,651
Amounts due to contract customers	(7,451,151)	(3,870,863)
	847,281	8,152,788

14. AMOUNT DUE FROM A DIRECTOR

This amount is non-trade in nature, unsecured, interest-free advance to a Director which is collectible on demand.

15. CASH AND BANK BALANCES

	2024 RM	2023 RM
Cash in hand	227	2,564
Cash at bank	3,704,404	6,474,072
Fixed deposits placed with licensed banks	3,421,427	3,273,680
Cash and bank balances	7,126,058	9,750,316

15. CASH AND BANK BALANCES (cont'd)

The fixed deposits placed with licensed banks bore weighted average effective interest rates at the range of 2.45% to 2.90% (2023: 2.50% to 2.90%) per annum, and had maturity periods ranging from 1 to 12 months (2023: 1 to 12 months).

The fixed deposits of the Company are pledged to licensed banks as security for banking facilities granted to the Company as disclosed in Note 18.

16. SHARE CAPITAL

	Number of ordinary shares		Amount	
	2024 Units	2023 Units	2024 RM	2023 RM
Issued and fully paid:				
At the beginning/end of financial year	1,800,000	1,800,000	1,800,000	1,800,000

The ordinary shares have no par value. The holders of ordinary shares are entitled to receive dividend as and when declared by the Company. All ordinary shares carry one vote per share without restriction and rank equally with regard to the Company's residual assets.

17. REVALUATION RESERVE

This non-distributable reserve includes the cumulative net change, net of deferred tax effects, arising from the revaluation of a freehold land and building above their cost.

In the prior years, one of the freehold lands and buildings of the Company was measured at revalued amount before adoption of MPERS. Upon adoption of MPERS, the Company opted to change its accounting policy to measure all its investment properties on the cost model. The Company has treated the revalued amount as the deemed cost of the investment properties at their revaluation dates.

18. BORROWINGS

	Trust Receipts RM	Term Loans RM	Total RM
Secured			
2024			
Current liabilities			
Due in 1 year or less	2,503,989	264,978	2,768,967
Non-current liabilities			
Due in more than:-			
- 1 year but not more than 2 years	-	287,652	287,652
- 2 years but not more than 5 years	-	382,715	382,715
- 5 years	-	645,503	645,503
	-	1,315,870	1,315,870
	2,503,989	1,580,848	4,084,837

18. BORROWINGS (cont'd)

	Trust Receipts RM	Term Loans RM	Total RM
Secured			
2023			
Current liabilities			
Due in 1 year or less	1,944,200	572,745	2,516,945
Non-current liabilities			
Due in more than:-			
- 1 year but not more than 2 years	-	585,806	585,806
- 2 years but not more than 5 years	-	906,409	906,409
- 5 years	-	297,781	297,781
	-	1,789,996	1,789,996
	1,944,200	2,362,741	4,306,941

The effective interest rates per annum on the borrowings of the Company are as follows:-

	2024 %	2023 %
Trust receipts	4.54 - 8.70	7.99
Term loans	5.20 - 13.50	3.75 - 13.50

The trust receipts, term loans and bank overdrafts facilities of the Company are secured by the followings:

(i) Jointly and severally guaranteed by the Directors of the Company;
(ii) Legal charge over the Company's freehold lands and buildings as disclosed in Note 9;
(iii) Third party open charge over a property owned by a Director of the Company; and
(iv) Fixed deposits pledged as disclosed in Note 15.

19. LEASE LIABILITY

	2024 RM	2023 RM
Minimum lease payments:		
Repayable within one year	57,048	28,608
Repayable between one and two years	57,048	28,608
Repayable between two and five years	166,368	85,824
Repayable more than five years	-	92,925
	280,464	235,965
Less: Future finance charges	(29,227)	(40,731)
Present value of finance lease liabilities	251,237	195,234
Present value of lease liabilities:		
Repayable within one year	46,447	19,288
Repayable between one and two years	48,825	20,497
Repayable between two and five years	155,965	68,746
Repayable more than five years	-	86,703
	251,237	195,234
Analysed as:		
Current liabilities	46,447	19,288
Non-current liabilities	204,790	175,946
	251,237	195,234

The lease liability bears interest at the following rate:

	2024 %	2023 %
Effective interest rate per annum	4.50 - 4.88	4.88

20. DEFERRED TAX LIABILITIES

	2024 RM	2023 RM
At the beginning of the financial year	184,192	186,044
Recognised in profit or loss (Note 7)	52,707	(1,852)
At the end of the financial year	236,899	184,192

20. DEFERRED TAX LIABILITIES (cont'd)

The recognised deferred tax liabilities/(assets) before offsetting are as follows:-

	Plant and equipment RM	Revaluation reserve RM	Other temporary differences RM	Total RM
At the beginning of the financial year	55,785	154,973	(26,566)	184,192
Recognised in loss or profit	41,097	-	15,915	57,012
Realisation arising from depreciable revaluation reserve	-	(4,305)	-	(4,305)
At the end of the financial year	96,882	150,668	(10,651)	236,899
At the beginning of the financial year	22,483	159,278	4,283	186,044
Recognised in loss or profit	33,302	-	(30,849)	2,453
Realisation arising from depreciable revaluation reserve	-	(4,305)	-	(4,305)
At the end of the financial year	55,785	154,973	(26,566)	184,192

21. TRADE PAYABLES

	2024 RM	2023 RM
Third party	15,559,963	19,909,388
Related company	1,375,072	-
	16,935,035	19,909,388

The normal trade credit terms granted to the Company ranges from 30 days to 60 days (2023: 30 days to 60 days). Other credit terms are assessed and approved on a case by-case basis.

22. OTHER PAYABLES

	2024 RM	2023 RM
Other payables	398,055	298,561
Accruals	745,177	645,003
Refundable deposits received	43,896	43,896
	1,187,128	987,460

23. FINANCIAL INSTRUMENTS

The Company's financial assets and financial liabilities as at reporting date are all categorised at amortised cost.

24. DIVIDEND

	Per ordinary share sen	Total amount RM	Date of payment
2024			
Interim single tier dividend for the financial year ended 31 December 2024	138.89	2,500,000	21 October 2024
2023			
Interim single tier dividend for the financial year ended 31 December 2023	27.78	500,000	15 September 2023

25. RELATED PARTY DISCLOSURES

Identity of related parties

For the purpose of these financial statements, parties are considered to be related to the Company if the Company has the ability to directly control the party or exercise significant influence over the party in making financial and operating decision, or vice versa, or where the Company and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

The Company has related party relationships with its Directors, related companies and key management personnel. Related companies refer to companies in which certain Directors of the Company have substantial financial interests and/or are also Directors of the companies. The related party balances are disclosed in Notes 12,14 and 21.

Related party transactions

	2024 RM	2023 RM
Transactions with related companies		
Purchases	1,698,459	45,109
Repayment (to)/from	(146,191)	547,469
Advances to	(150,463)	(99,872)
Administration charges	(7,523)	(4,995)
Interest charges	(3,521)	(10,921)
Transaction with Directors		
Non-trade		
Advances to	(941,362)	(834,674)
Repayment from	2,595,315	560,699

25. RELATED PARTY DISCLOSURES (cont'd)

Compensation of key management personnel

Key management personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of the Company either directly or indirectly. The key management personnel include all the Directors of the Company.

Remuneration paid by the Company to key management personnel (comprising the Directors) during the financial year has been disclosed in Note 6(a).

26. COMPARATIVE FIGURES

The comparatives figures have been reclassified to conform with the current year's presentation.

	As previously reported RM	As reclassified RM
2023		
Statement of Financial Position		
Amount due from contract customers	8,152,788	12,023,651
Amount due to contract customers	-	(3,870,863)